

OCR AS and A Level Economics (H060, H460) Topic Questions

Question Paper

Main Topic

Microeconomics (Component 01)

Sub-Topic

The Labour Market

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**To be used by all students and teachers for
OCR AS and A Level Economics (H060, H460)
for exams from 2025 onwards.**

Students and teachers of other boards may also find this useful

Name : _____

Date : _____

Time : _____

Total Marks Available : _____

Total Marks Received : _____

- 1 * In April 2016 the UK National Minimum Wage for those aged 25 and over was increased by over 7% from £6.70 per hour to £7.20 per hour. It is now called the National Living Wage.

Evaluate, using an appropriate diagram(s), the impact on an economy of an increase in the minimum wage.



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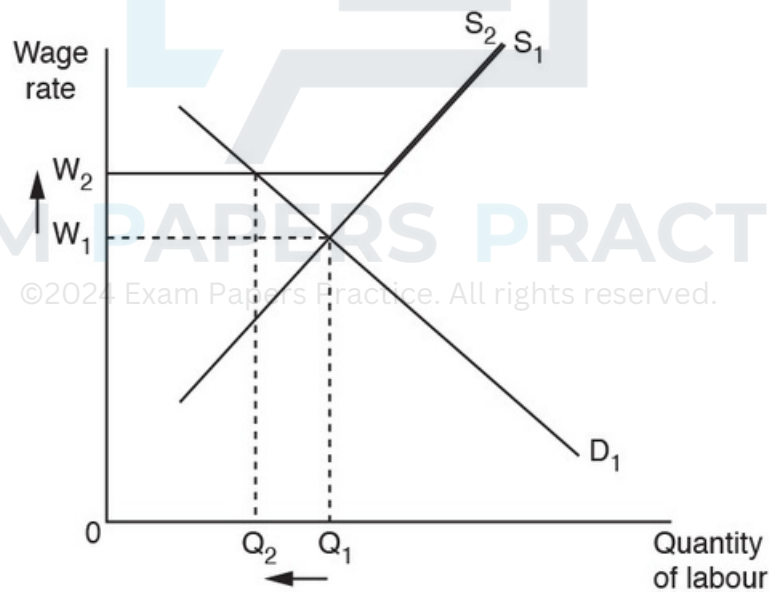


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[25]

2 Which of the following is illustrated in the diagram below?



- A A monopsonist employer acting as the monopoly buyer of labour
- B A reduction in the National Minimum Wage
- C A trade union successfully engaging in collective bargaining
- D Workers emigrating to take up higher paid jobs abroad

Your answer

[1]

3 Which change will make the wage elasticity of demand for labour more elastic?

- A Demand in the product market becomes more price inelastic
- B Technological advancement enables greater capital-labour substitution
- C The labour force becomes more occupationally mobile
- D The proportion of labour costs in total costs decreases

Your answer

[1]

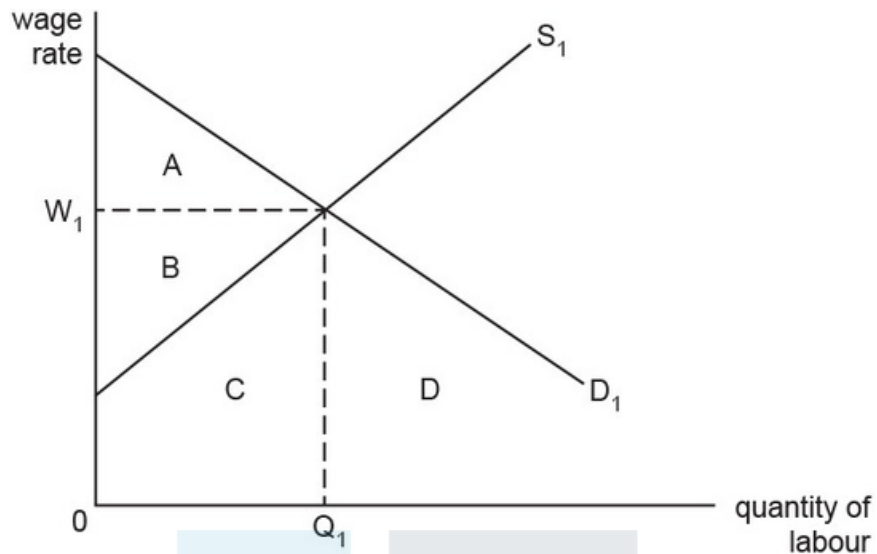
4 Please refer to insert H460-03 June 2017, Housing, which can be downloaded separately and is also included with Question 31.

Using the data from Fig. 1.1, compare what has happened to house prices and average earnings between 2000 and 2014.

[2]

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- 5 In the diagram below, which area represents transfer earnings?



- A Area A
- B Area B
- C Area C
- D Area D

Your answer

[1]

- 6 The proportion of the working age population in the labour force increased from 76.8% to 78.4% between 2006 and 2016 in the UK. What would have increased as a result of this change?

- A Dependency ratio
- B Employment rate
- C Participation rate
- D Replacement ratio

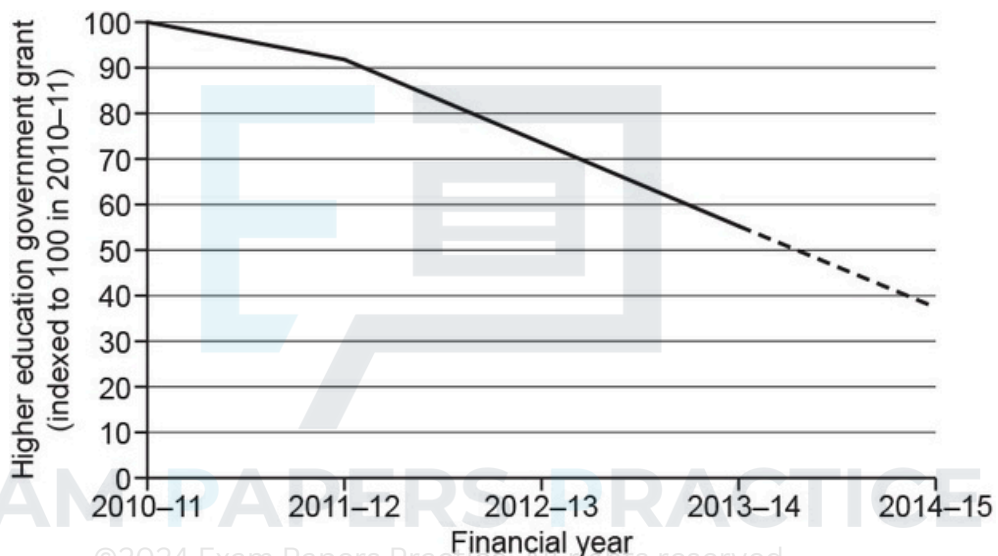
Your answer

[1]

Who should pay for students to study at university?

The proportion of university education provided by the public sector and the private sector varies throughout the world. Most UK universities are generally considered to be in the public sector. In 2017, there were only five private sector universities in the country. The difference between public sector and private sector universities, however, is changing. This is the result of a shift in the funding of higher education, particularly in England. Universities are obtaining less of their income from government financed teaching grants and an increasing proportion from tuition fees. Fig. 1 shows how the amount of government spending on higher education has fallen in recent years.

Fig. 1 – Spending on higher education government grant



Note: Figure for 2014–15 was a predicted figure. Figures are in real terms, adjusted for inflation using the GDP deflator.

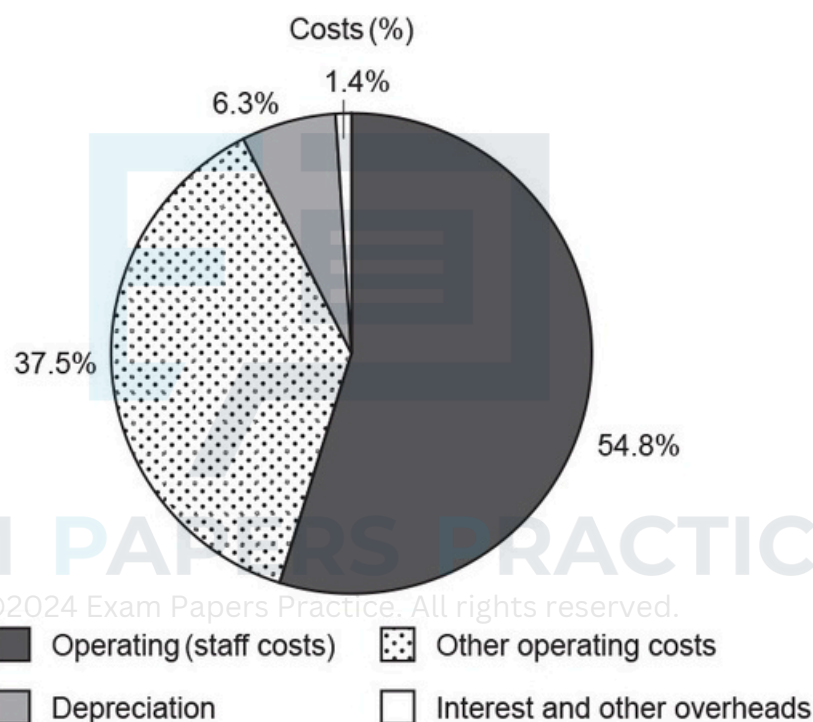
Tuition fees were introduced in 1998 at a maximum of £1,000 a year. By 2017, these had risen to a maximum of £9,250 for UK and EU students studying in England. Most universities charge this maximum annual fee. In October 2017, the government announced that it was freezing tuition fees at £9,250 instead of increasing them in line with inflation and raising the student loan repayment threshold from £21,000 to £25,000. Most students would like the government to maintain the freeze for some time or even scrap tuition fees altogether.

Some A Level students do not gain the grades needed to take up university places. In other cases, however, it is tuition fees which discourage them from applying to university. These students are concerned about future debt levels and value for money. The average pay for university graduates is higher than that for non-graduates. Future earnings, however, vary according to the subject studied, university attended and job gained after graduation. Currently the highest earning post graduates tend to have been students of medicine, veterinary science,

economics and engineering. While the lowest earners are found to be former students of English Literature, communication, agriculture and creative arts. A Level pupils are also aware that the learning experience varies between courses and universities, with some undergraduates complaining about lack of contact hours and high numbers of students in seminar groups.

25 While a limit on tuition fees may be welcome to many students, universities are concerned about the measure. They are worried that if they are not able to charge higher tuition fees and if they do not get more funding from the government, they will struggle to cover their costs. Universities' operating costs vary with the number of students they teach. Fig. 2 shows a breakdown of the total cost of £31.2 billion incurred by UK universities in 2014–2015 when they were educating
30 2.2 million students.

Fig. 2 – The composition of the total cost of UK universities 2014–2015



The cost of providing degree courses varies between subjects and universities. It is, for example, more expensive to provide engineering courses than English Literature courses. The University of Cambridge, for instance, spends more per student than the University of Bedfordshire.

35 The amount spent on education for people above school age (tertiary education), includes spending on degree courses and vocational courses. Such education provides a range of benefits not only to those who undertake the courses but also to others. Tertiary education increases a country's output and the productivity of its workers. UK universities are also creating an increasing number of spin-off companies which create new jobs.

Fig. 3 shows how the proportion of people of two different age ranges who had completed tertiary education varied in selected countries in 2016, as well as average income in those countries.

Fig. 3 – The proportion of people who had completed tertiary education in selected countries in 2016

Country	25–34 year olds who completed tertiary education	55–64 year olds who completed tertiary education	Average income (GDP per head in US\$) 2016
Canada	60.6	46.2	42 200
Germany Japan	30.5	26.3	42 000
New Zealand	60.1	39.7	39 100
South Korea	43.4	28.2	39 400
United Kingdom	70.0	19.7	27 600
United States of America	52.0	37.6	39 900
	47.5	41.9	57 500

Please read the extract above or refer to insert H460-01 June 2018, Who should pay?, which can be downloaded separately.

- (i) Explain whether the information in Fig. 3 about average income and about 25–34 year olds who had completed tertiary education shows the expected relationship between the two.

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[2]

- (ii) Explain, using information in Fig. 3, which country is likely to have experienced the lowest relative increase in occupational mobility over the last thirty to forty years.

[3]

- 8 * In January 2016 junior doctors were planning to strike after pay negotiations with their employer, the National Health Service, had failed to produce a satisfactory outcome.

Evaluate, using an appropriate diagram(s), the impact of a monopsonist employer, such as the National Health Service, on the market for highly skilled labour.

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9(a)

The UK labour market in the 21st century

The UK labour market has experienced both a large increase and significant changes in the past 20 years. Data published in the UK's Labour Force Survey in October 2017 shows employment continuing to rise and unemployment falling, as seen in Fig. 1.

Fig. 1 – UK labour market statistics for June to August 2017

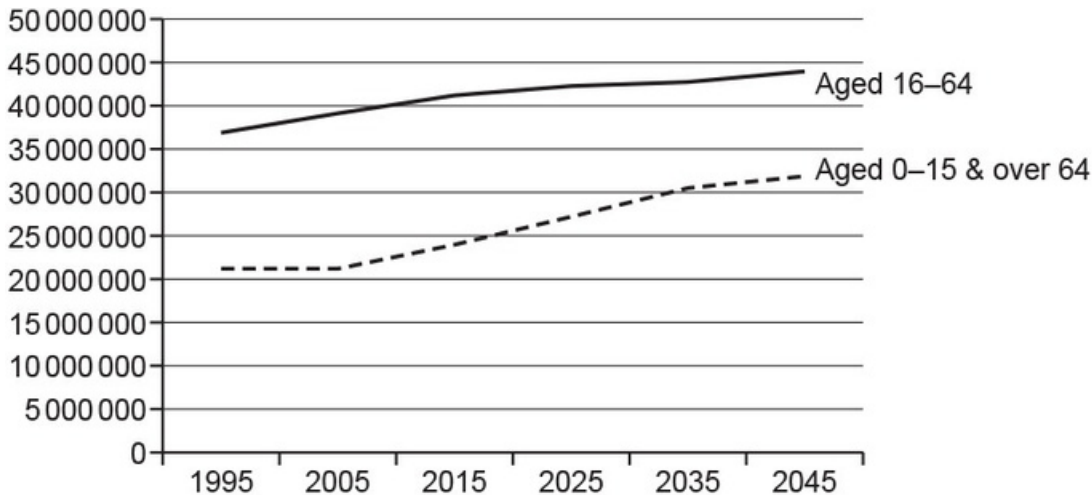
	Number (‘000)	Change on previous quarter (‘000)	Change on previous year (‘000)
Employed	3092	109	363
Unemployed	3	–63	–224
Economically Inactive (Aged 16–64)	1418 8812	–17	–13

Source: ONS

- The unemployment rate was at a 42-year low, although there was still some slack in the labour market. Other evidence in the October 2017 data included:
- average weekly earnings for employees increased by 2.2% in nominal terms, compared with a year earlier.
 - average weekly earnings for employees decreased by 0.3% in real terms, compared with a year earlier.
 - employment growth was strongest for those aged 25–34 years and 50–64 years.
 - employment fell among young people aged 16–24 years.
 - growth in employment over the year was greater for women (up by 246 000) than for men (up by 71 000).
 - employment growth was not equal across the country, with the biggest increases in the West Midlands, London, Scotland and the South East but large falls in the South West, East Midlands and Wales.
 - the proportion of workers in temporary jobs because a permanent one was not available was 27.6%.
 - the proportion of people working part-time because they could not find a full-time job was 12.3%.

The UK economy has created nearly 6 million new jobs in the last 20 years which was necessary given the increase in the UK population over this period (see Fig. 2). Many of these extra jobs were primarily due to an increase in self-employment and employees in part-time work.

Fig. 2 – UK population estimates 1995–2045



Source: ONS

The 'gig economy'

Each day, just before lunch, couriers dressed in the distinctive green and black uniform of Deliveroo, the online food delivery company, arrive at the end of the street, park their bikes next to a bench and wait. Holding their smartphones, they wait for someone, somewhere in the city, to place an order with one of the nearby restaurants and cafés. When an order comes through, one of the couriers will pick it up and deliver it in exchange for a small fee. They will then return to the bench to wait for another call.

Welcome to the 'gig economy' which can be defined as, "a labour market characterised by the large number of short-term contracts or freelance work, as opposed to permanent jobs".

Plenty of people in early 21st-century Britain can identify with the experience of working for a company like Deliveroo. But even more people are employed on zero-hour contracts in a wide variety of jobs, from stacking shelves to waiting tables to caring for the elderly. According to the Office for National Statistics, around 900 000 workers rely on a job with a zero-hour contract. These people start every week not knowing how much work they will get or how much money they will earn. Informal or casual employment of this kind helps explain why the UK's unemployment rate has not grown out of control since the financial crash of 2008. This increased labour market flexibility has made it easier and less risky to employ workers, especially for monopolistically competitive firms who will expect to see a fall in their average costs.

However, opponents of the growth in casual employment, including the trade unions, claim that there are underlying problems associated with this labour model. Millions of people are "just about managing" and many are faring much worse. In the 12 months up to March 2017, the UK's largest food bank charity gave out more than one million emergency food parcels to people in desperate need. At the same time, household debt has grown to 150% of income. This debt has been fuelled by low wage growth and low interest rates which has made credit easily available. But the main issue for the estimated 8.3 million people living with unmanageable debt is needing to borrow money to survive.

It is no more than a coincidence that these concerns are happening in a year which recognises the 75th anniversary of the founding of the UK welfare state which was set up to focus on, among other issues, a problem that had grown since the early 1800s: that many workers struggled to earn regular and reliable wages throughout the entire year. However, some have come to regard the welfare state simply as a cost to be kept down rather than part of an economic and social strategy that aims to deliver security for all. Successive governments have cut benefits and altered the tax system to move the burden away from more progressive direct taxation towards more regressive indirect taxation.

Fig. 3 shows the effect on different groups of households by comparing their original income earned from employment with their final disposable income after benefits and taxation have been taken into account.

Fig. 3 – Average incomes, taxes and benefits of households by decile group, 2015/16

	Bottom	2nd	3rd	4th	5th	6th	7th	8th	9th	Top	All households
Original income	6286	13988	17410	25754	31424	39293	47963	59622	68968	117960	42867
+ Total cash benefits	6387	7748	8313	6319	4494	3729	2368	2283	2004	1544	4519
Gross income	12673	21736	25723	32074	35918	43022	50331	61905	70972	119504	47386
– Direct taxes	1528	2299	3046	4794	5940	7931	10091	13199	15534	29991	9435
Disposable income	11145	19437	22677	27280	29978	35091	40239	48706	55438	89513	37951

Source: ONS

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Please refer to insert H460-01 June 2019, which can be downloaded separately and is included above.

Calculate the participation rate in the UK labour market for the period from June to August 2017.

[2]

(b) Refer to lines 6–9.

Identify and explain why the change in average weekly earnings in nominal terms is greater than in real terms.

[2]

(c) What does Fig. 2 suggest will happen to the dependency ratio in the UK between 2015 and 2045?

[2]

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(d)* Evaluate, using evidence from the stimulus material, the impact of an increase in labour market flexibility in the UK.



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Grocery retailing is often used as an example of an oligopoly market in the UK. Economists sometimes divide oligopoly markets into two types: perfect oligopoly, in which the products sold are homogenous and imperfect oligopoly, in which there are differentiated products. The behaviour of firms in a perfect oligopoly can be significantly different from those in an imperfect oligopoly.

In the UK, since the 1950s, the selling of groceries has become increasingly dominated by supermarkets. Tesco has been the market leader for a sustained period of time with over 25% of the market share. There are, however, other competitors who also maintain a significant share of the grocery market, as shown in Fig. 1.

Supermarket	Percentage share of grocery market	Percentage share of grocery market
	July 2014	July 2016
Aldi	4.8	6.2
Asda	17	15.5
Co-op	6.3	6.4
Lidl	3.6	4.5
Morrison's	11	10.7
Sainsbury's	16.6	16.3
Tesco	28.9	28.3
Waitrose	4.9	5.1
Others	6.9	7.0

Fig. 1 Percentage share of grocery market by supermarket. July 2014 and July 2016.
(As measured by % of total market sales revenue.)

The market for groceries is large with the value of sales exceeding £170bn. This has continued to grow, see Fig. 2, despite the macroeconomic problems of the UK economy and a prolonged price war between the supermarkets.

	UK grocery market by value in £bn
2014	177.4
2016	179.1

Fig. 2 UK grocery market by value £bn. 2014 and 2016.

The larger supermarkets have used price cutting in an attempt to maintain market share. While another method of differentiating their brand has been to offer better home delivery services. At present online ordering accounts for less than 10% of all grocery sales.

Sainsbury's, one of the leading supermarkets, has recently decided to integrate its business by buying out Argos.

This constitutes horizontal integration. Argos specialises in selling non-grocery products such as toys, clothing and household goods. These non-grocery products are part of Sainsbury's wider product portfolio. Argos offers delivery by 10pm for any of its products ordered by 6pm on the same day. One of the potential benefits of this buy out of Argos by Sainsbury's is the delivery network that Argos has established. Sainsbury's hope to increase their ability to deliver food using online ordering. However, the delivery of items such as clothes and household goods creates fewer problems than delivering fresh food products. Food items require different temperatures and items are often fragile or bulky making the process more difficult and costly.

The major problem with online grocery sales is the lack of profitability. There is a very high level of fixed costs involved. It has been estimated that, on average, a delivery costs the supermarket £20 whereas consumers are charged less than £5. Ocado, an online groceries only provider, operated for 15 years before making a profit.

In recent years there have been some successful new entrants to the grocery retailing market such as Aldi, Lidl and Netto. Most recently, Amazon, a market leader in online sales, has also entered the grocery retailing market through a new service called Pantry. The entry of new firms into a market can influence the profits earned by the incumbent firms. Fig. 3 shows how the profits earned by Tesco and Sainsbury's have changed in recent years.

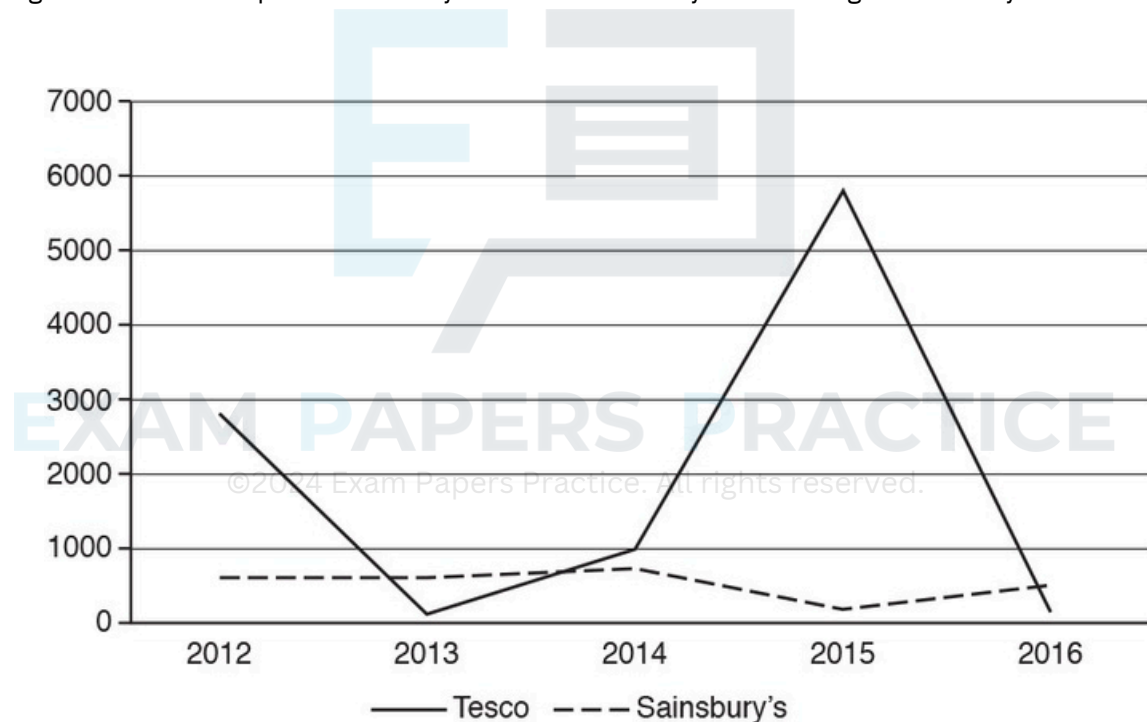


Fig. 3 Profits (£m) earned by Tesco and Sainsbury

Please refer to Insert H460-01 Practice 2, which can be downloaded separately and is also included above.

Compare the 3 firm concentration ratio for supermarkets in the grocery market in July 2014 and July 2016.

[2]

- 11 * “The U.K. productivity gap widened to its worst level since records began.” The Guardian, February 2016.

Evaluate the implications of variations in unit labour costs and labour productivity between firms.

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- 12 A firm decides to increase its output from 103 to 104 units. From the data below, what will be the marginal revenue from doing this?

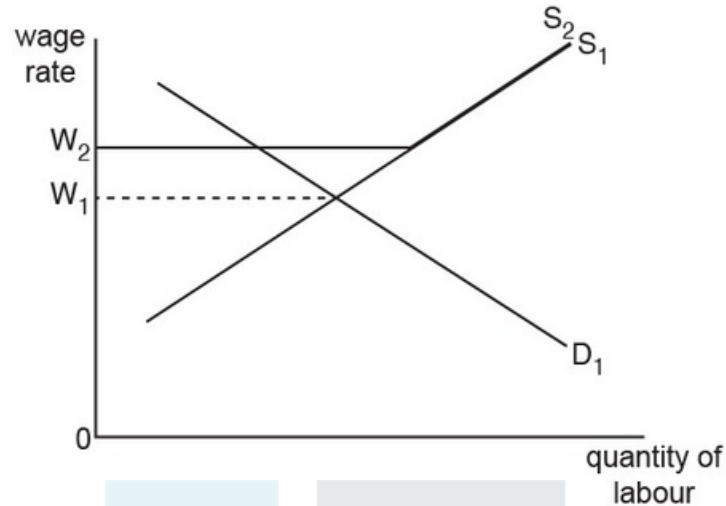
Quantity	Price	Total Cost	Total Revenue
100	£200	£13 625	£20 000
101	£199	£13 742	£20 099
102	£198	£13 859	£20 196
103	£196	£14 003	£20 188
104	£194	£14 180	£20 176
105	£191	£14 365	£20 055

- A -£12
B £177
C £194
D £5996

Your answer

[1]

13 What is the most likely cause of the wage rate increasing from W_1 to W_2 in the diagram below?



- A Imposition of a maximum wage on a monopsony labour market
- B Imposition of a minimum wage on a monopsony labour market
- C Relaxation of immigration controls in a country
- D Trade union intervention on a competitive labour market

Your answer

[1]

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14 Please refer to insert H460-03 Practice 2 which can be downloaded separately and is included above with Question 27.

Using the information in Extract 1, explain why the fall in the real wages of doctors after 2010 'goes against the traditional economic theory of derived demand'.

[2]

- 15 * Please refer to insert H460-03 Practice 2 which can be downloaded separately and is included above with Question 27.

Evaluate, using an appropriate diagram, the extent to which trade unions solve labour market failure in situations of bilateral monopoly such as those outlined in Extract 1.



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- 16 Please refer to insert H460-03 Practice 2 which can be downloaded separately and is included above with Question 27.

Explain, using a diagram, one factor that would explain the wage differentials illustrated in Fig. 3.1.



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[4]

- 17 Please refer to insert H460-03 Practice 1 which can be downloaded separately and is included above with Question 31.

Identify and explain one piece of evidence in Extract 2 of Tata Steel acting as a monopsony employer.

[2]

- 18 Please refer to insert H460-03 Practice 1 which can be downloaded separately and is included above with Question 31.

Evaluate whether Tata Steel's position as a monopsony employer is responsible for labour market failure in the steel industry.

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[8]

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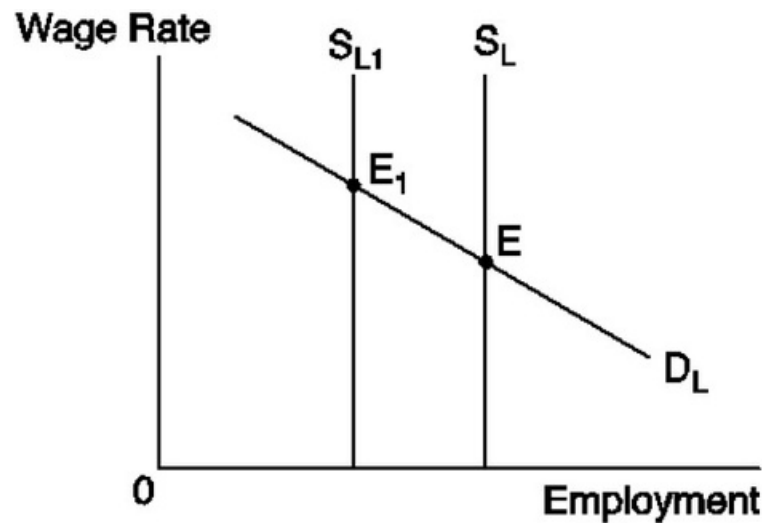
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20 The following diagram represents the labour market conditions in a particular industry.



Which of the following combinations of statements is correct if the supply of labour shifted from S_L to S_{L1} resulting in a change in the labour market equilibrium from E to E_1 ?

	Statement 1	Statement 2
A	Economic rent is unchanged	Labour will be supplied whatever the wage rate
B	Economic rent is unchanged	There would be no demand for labour at a wage rate above the equilibrium
C	Transfer earnings are unchanged	Labour will be supplied whatever the wage rate
D	Transfer earnings are unchanged	There would be no demand for labour at a wage rate above the equilibrium

Your answer

[1]

21 An employer pays all his workers the same wage. At present he employs 50 workers at £20.00 per day. He has to increase the wage by 20p per day to attract an extra worker.

What is the marginal cost of the extra worker to the employer?

- A 20p
- B £20.20
- C £30.20
- D £1030.20

Your answer

[1]

22 Sweden is generally considered to have relatively high unit labour costs. What might be the reason for this?

- A High investment in physical capital
- B High levels of employment protection laws
- C Low costs of living
- D Low tax rates

Your answer

☐

[1]

23 When would the quantity of labour supplied increase more than proportionally to an increase in the wage rate?

- A It is easy to substitute labour for capital
- B Labour costs take up a high proportion of total costs
- C There is a high level of skill required in the job
- D The job requires minimal training

Your answer

☐

[1]

24 Please refer to insert H460-03 June 2019 which can be downloaded separately and is included above with Question 27.

Using Fig. 2.1, explain what has happened to migration in the UK between 2000 and 2016.

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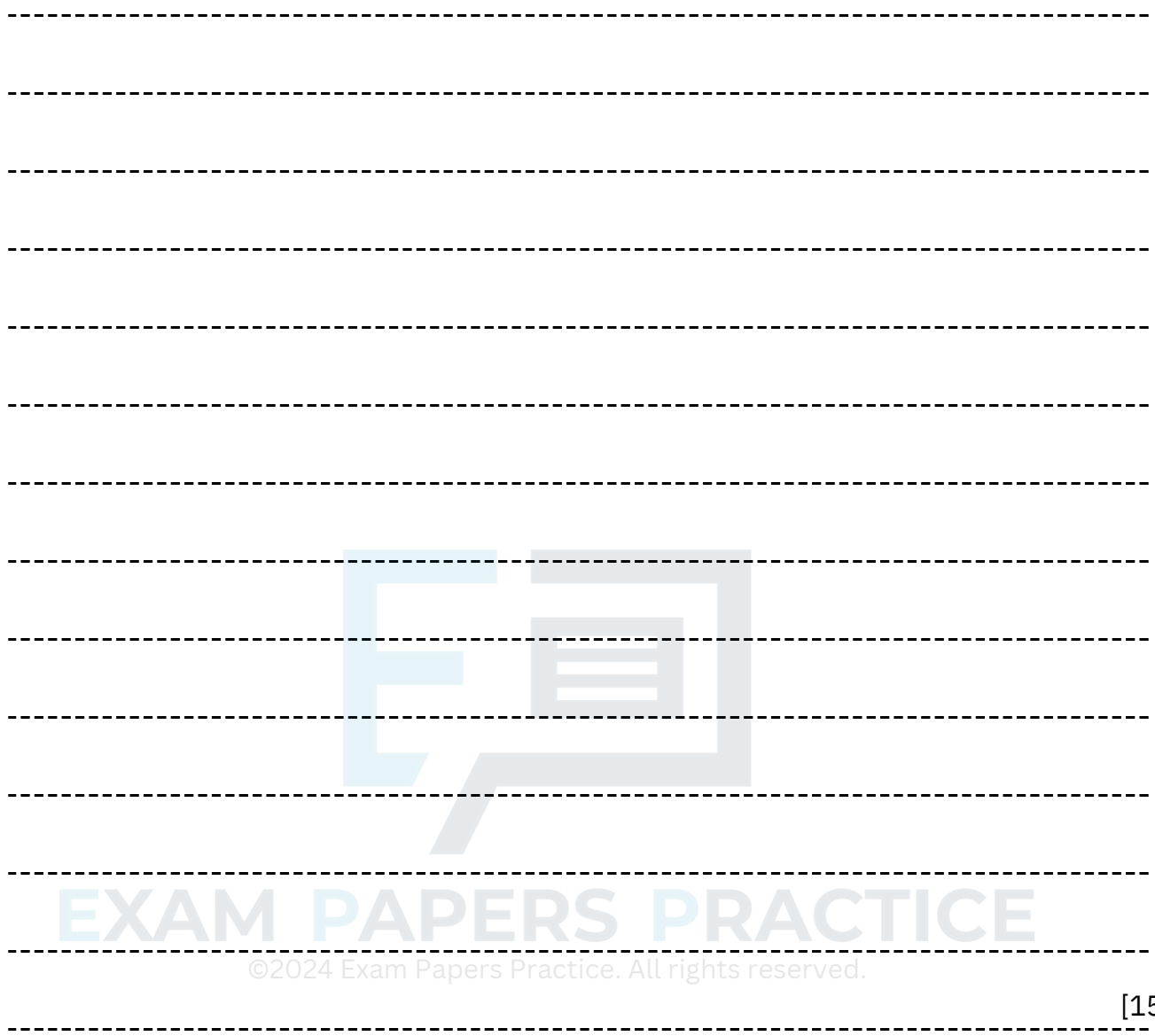
[2]



25 Please refer to insert H460-03 June 2019 which can be downloaded separately and is included above with
Question 27.

Evaluate, using the information in Extract 2, the impact on the UK labour market and wider economy of the UK ending the free movement of labour with EU countries.

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26 What would cause unit labour costs to decrease?

- Your answer

[1]

27 What could cause wages in an occupation to be lower than in other occupations?

- A A long training period is required before starting the job
- B A high proportion of workers in the occupation are members of a trade union
- C Wages take up a high proportion of total costs
- D Workers have a high marginal revenue product of labour

Your answer

[1]



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28 * The percentage of employees in the UK choosing to be a member of a trade union, has fallen from 27% to 20% in the last 20 years. Across different industries, this figure ranges from 48% in the education sector to 3% in the food service sector.

Evaluate, using an appropriate diagram(s), whether trade union activity helps to encourage the efficient operation of the UK labour market.

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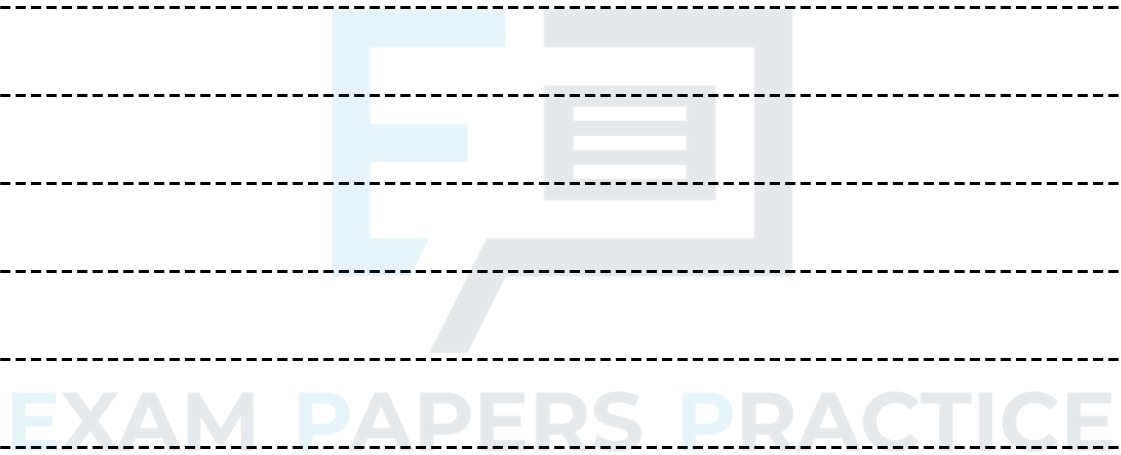
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